



A: The manufacturing sector has an enormous potential for learning and positive spillovers.

While some manufacturing in India may currently involve assembly, it can serve as an important entry point into global value chains and creates significant opportunities for learning-by-doing, technology transfer, skill development and supplier ecosystem creation.

Over time, these positive spillovers can increase domestic capabilities and lead to higher local value addition, including greater component manufacturing and deeper industrial ecosystems.

Q: Are you concerned about food inflation as monsoons may be below average this year?

A: Current forecasts indicate a likely development of El Niño conditions after July. Regional variations in rainfall patterns will also play an important role. Although a below-normal monsoon poses certain risks, its implications for the rural economy are structurally different today compared to earlier decades.

Significant progress in irrigation coverage, improved water management, better seeds, and greater crop diversification have reduced vulnerability.

Thus, a weaker monsoon no longer automatically results in sharp food inflation or a severe decline in agricultural output. In addition, strengthened storage and supply chain systems have enhanced resilience.

The overall impact on agriculture is likely to remain muted compared to earlier decades due to comfortable water reservoir levels and improved irrigation. However, the situation remains evolving and warrants close monitoring, particularly to assess any adverse effects on crop yields and input costs.

To offset the impact of a weak monsoon, the government is already better prepared through a combination of structural and policy measures. Adequate buffer stocks of food grains are being maintained, which can be strategically released to stabilise prices and ensure availability.

Q: The fall in the rupee has been a cause for concern.

A: The recent weakening of the rupee can largely be attributed to heightened global uncertainty, which has triggered a risk-off sentiment and volatility across global financial markets. The pressures on the rupee may be emanating more from the risk-off sentiment affecting capital flows and market expectations. The value of the rupee is determined by the market in terms of supply and demand.

However, there are mitigating factors on the external front. Here, we have seen recent steps by the RBI to ensure orderly market conditions for the rupee. Since markets are reflexive in nature, these steps will ensure that expectations don't become self-fulfilling and remain anchored in fundamentals. As a result, the rupee has risen in the last few days.

The trade balance has done well in April despite global headwinds, supported by robust export performance across a diversified set of markets, which helps cushion external sector pressures. While there is near-term volatility amid global headwinds, underlying external fundamentals remain relatively resilient. The government is also taking measures to improve foreign exchange and foreign direct investment. FTAs will also help improve investment from other countries. **BT**

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